

PROJECT

VELLUM

Executive Teaser

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February 2024

Transaction Overview

Company	Ascot Paper Products
Sector	Light Industrial — Specialty Paper & Fine Writing Products
HQ / Founded	Portland, OR / 2001
Advisor	Lincoln International (Exclusive)
LTM Revenue	\$95M
LTM Adj. EBITDA	\$14M (14.7%)
Revenue Growth	+7% YoY (LTM)
Asking EV	~\$140M (10.0x LTM Adj. EBITDA)

Ascot Paper Products at a Glance

Overview and key operating metrics

Ascot Paper Products ("Ascot" or the "Company") is a leading North American manufacturer and distributor of premium specialty paper products — including fine writing papers, art & illustration papers, archival document papers, and premium packaging substrates. Founded in 2001, the Company operates one manufacturing facility in Portland, OR and a converting & distribution center in Memphis, TN, serving independent specialty retailers, art supply chains, luxury stationery brands, and institutional archival customers. Ascot's products command a 30–45% price premium to commodity paper through superior surface quality, acid-free archival certification, and exclusive brand partnerships.

Founded

2001

Employees

~290

Distribution

Memphis, TN (leased)

HQ

Portland, OR

Manufacturing

Portland, OR (owned)

Retail Doors

~4,800

LTM Revenue

\$95M

LTM Adj. EBITDA

\$14M

YoY Revenue Growth

+7%

Active SKUs

3,200+

Why Ascot

Six investment highlights

01

Defensible niche in premium specialty paper — structural barriers to competition

Acid-free archival certification requires ISO 9706 compliance — 2–3 year qualification process for new entrants · Custom colorways and surface textures for 6 exclusive luxury stationery brand partners (NDA-protected) · Proprietary coating formulas (4 patents) developed over 20+ years — replicable only with significant R&D investment

03

Durable institutional customer base with high switching costs

Library of Congress, Smithsonian, and 12 major university archives — archival customers on 5-year supply agreements · Artist-grade paper relationships with Blick Art Materials (382 stores) and Michaels — 9-year tenure · Average customer relationship: 11.2 years; top 20 accounts represent 62% of revenue with <3% annual churn

05

Environmental credentials align with growing institutional and consumer sustainability mandates

100% FSC-certified fiber sourcing since 2019; Portland facility carbon-neutral since 2022 · Climate Pledge Friendly designation on Amazon; preferred supplier to 3 university sustainability programs · Recyclable and biodegradable packaging across 95% of SKU count — no single-use plastic

02

Premium pricing power insulated from commodity paper market dynamics

ASP of \$4.20–\$8.80 per sheet vs. \$0.08–0.25/sheet for commodity copy paper — 30–45x premium · Price increases of 4–6% in FY2022 and FY2023 absorbed with minimal volume impact · Premium segment customers are price-insensitive — buying on quality, certification, and brand

04

Significant e-commerce and DTC growth vector

Ascot.com DTC channel grew from \$1.2M (FY2021) to \$8.5M (FY2023) — 65% CAGR · Amazon Seller Central: #1 best-seller in 'Fine Art Paper' category; 4.8-star rating (12,400+ reviews) · DTC gross margin 58% vs. 28% wholesale — channel mix shift to digital structurally accretive to margins

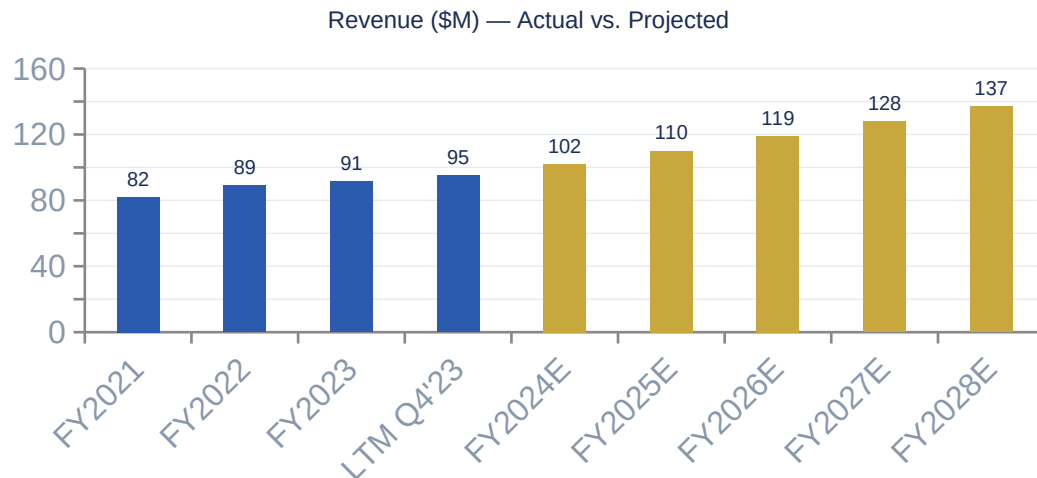
06

Family-owned business with clean balance sheet and no legacy liabilities

Founded and majority-owned by the Hartley family (68%) — first-generation sale process · Zero funded debt on balance sheet; \$11M cash — acquiror gets clean platform with immediate bolt-on capacity · No pension obligations, no environmental remediation liabilities, no customer concentration >15%

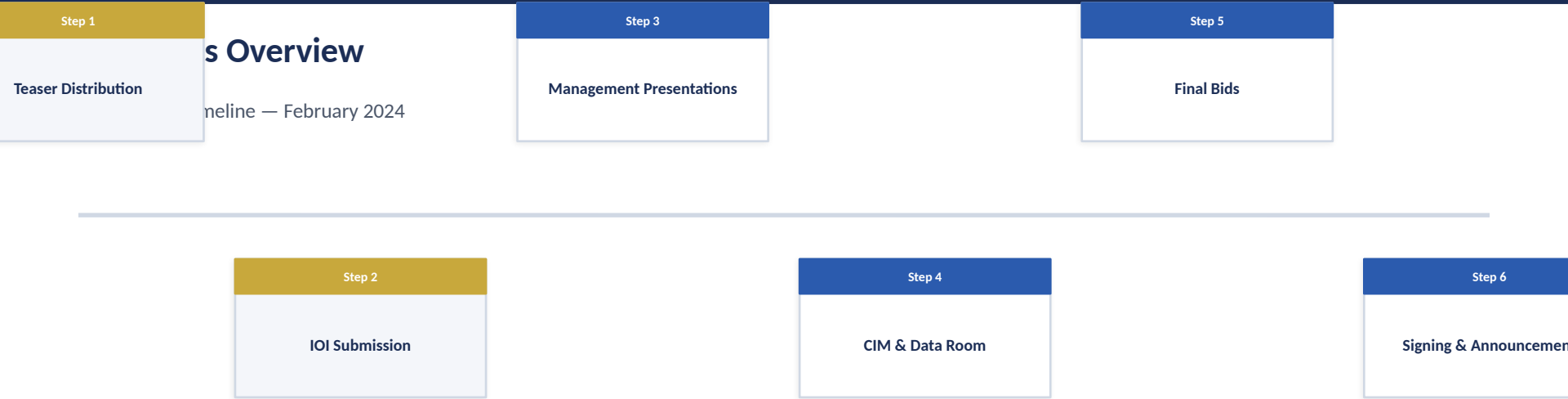
Financial Performance

Historical results and management projections (\$ in millions)



(\$M)	FY2021	FY2022	FY2023	LTM Q4'23	FY2028E
Revenue	82.0	89.2	91.4	95.1	
YoY Growth	—	+8.8%	+2.5%	+7.2%	
Sales & Marketing	7.4	7.9	8.1	8.5	
G&A	4.8	5.0	5.2	5.5	
Revenue	102	110			
Adj. EBITDA	16	19			
EBITDA Margin %	15.7%	17.3%			

E = Management projections; not independently verified by Lincoln International.



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